COMMENT LETTER

Office of the Comptroller of the Currency

Notice of Proposed Rulemaking: Payment Stablecoin Issuers

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SUBMITTED BY

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I. Introduction

DDCP Foundation, Inc. ("DDCP Foundation") is a Wyoming nonprofit corporation that serves as steward of the Decentralized Digital Currency Protocol ("DDCP") — open-source stablecoin infrastructure designed as a private-sector alternative to central bank digital currencies. The protocol's reserve layer is governed by the DDCP Reserve Management Foundation ("RMF"), a Swiss-domiciled nonprofit foundation currently in formation. This comment is submitted in connection with **DDUSD, LLC** (ddusd.org), a Wyoming limited liability company currently in formation as a prospective federal qualified payment stablecoin issuer.

DDUSD is planned to be the first token deployment on the DDCP protocol: a USD-pegged stablecoin designed for global issuance with tiered transaction privacy and *protocol-enforced procedural safeguards on fund access* as protocol-level properties, not policy settings. DDUSD, LLC intends to file a formal application for federal qualified payment stablecoin issuer ("PPSI") status with the OCC and to engage the OCC proactively on the constitutional, definitional, and reserve asset questions addressed in this letter.

These arguments are not advanced as a regulatory evasion strategy. They rest on an affirmative constitutional position: that financial seizure should require judicial process — individual targeting, evidentiary standards, and court authorization — rather than executive will alone. The danger this architecture is designed to address is not hypothetical. In February 2022, the Canadian government invoked emergency powers to freeze the bank accounts of citizens who had donated to or participated in a lawful political protest, without individual court orders, without criminal charges, and on the basis of political participation rather than criminal conduct. The accounts were unfrozen when the political situation changed, not when courts reviewed the action. That episode illustrates with precision the failure mode that centralized digital financial infrastructure enables: the conversion of payment systems into instruments of political control, exercisable at the speed of a database update, by whoever holds executive power at a given moment. DDCP's no-seizure architecture does not make criminal funds permanently unreachable. It makes the path to reaching them require the same procedural safeguards that liberal democratic societies have historically required for limiting coercive government power. DDCP Foundation submits this letter in that spirit.

This comment advances three arguments that we respectfully require the OCC to address before the final rule issues:

- The proposed freeze function requirement is constitutionally infirm as applied to payment stablecoin infrastructure whose no-seizure property is consensus-enforced and structurally distributed across an internationally adversarial validator network with no single reachable controlling entity. The Fifth Circuit's November 2024 ruling in Van Loon v. Department of the Treasury establishes the constitutional principle; the structural incapacity of the DDCP validator governance architecture compels the result.
- The DDCP protocol falls outside the NPRM's "digital asset service provider" definition. DDCP is open-source protocol infrastructure, not an issuer or service provider. AML/CFT compliance is handled entirely at the Financial Intermediary layer — the licensed exchanges, on/off-ramps, and custodial wallet providers that maintain fiat relationships with end users — which remains fully reachable by law enforcement under valid judicial authority.
- Adversarially distributed short-duration sovereign debt from multiple jurisdictions qualifies as "money" under the GENIUS Act's broad reserve asset definition, and the OCC should issue interpretive guidance confirming this characterization.

II. The Proposed Freeze Function Requirement Is Constitutionally Infirm as Applied to Structurally Incapacitated Protocol Infrastructure

Recent technical literature has crystallized the design constraint that makes the freeze function requirement structurally incompatible with privacy-preserving protocol infrastructure. The on-chain privacy trilemma — the engineering impossibility of simultaneously achieving usability, absolute privacy, and threat-resistance — establishes that the viable path for financial privacy infrastructure is threat-resistant privacy: full privacy for ordinary activity, combined with cryptographically constrained, narrowly scoped recourse mechanisms for exceptional events. Threat-resistance, properly understood, is an engineering property achieved through architectural choices: tiered disclosure design, cryptographic enforcement of transaction thresholds, and adversarially distributed consensus governance. Compliance-compatibility — the ability to honor administrative freeze orders — is a distinct legal and operational property. The NPRM's freeze function requirement conflates the two. DDCP's architecture delivers threat-resistance through its tiered privacy design. It is structurally incapable of delivering compliance-compatibility because no single entity within the OCC's

jurisdictional reach has the unilateral capacity to implement an administrative freeze order. The constitutional question is whether the Act permits the OCC to require compliance-compatibility as a condition of licensure when no compliant architectural path exists — a question the Fifth Circuit's analysis in Van Loon illuminates.

A. The Constitutional Principle Established in Van Loon

In Van Loon v. Department of the Treasury, No. 23-50669 (5th Cir. Nov. 2024), the Fifth Circuit held that immutable, uncontrolled smart contract code deployed to a public blockchain does not constitute "property" within the meaning of IEEPA and therefore cannot be the subject of government sanctions compelled against the protocol itself. The court's analysis rested on the finding that the contracts were beyond the control of any identifiable party, and that the government's compulsion theory depended on the existence of a party capable of acting on the compulsion — a predicate that was absent.

The constitutional principle *Van Loon* establishes is this: a government compulsion demand is constitutionally defective when no single party within the government's jurisdictional reach holds the ability to implement the demanded action. DDCP's validator governance architecture presents exactly this structural condition — not because the protocol is technically immutable in the same sense as the fully deployed Tornado Cash contracts at issue in *Van Loon*, but because the governance structure makes compulsion of the demanded action practically and legally unavailable.

B. DDCP's Structural Incapacity Distinguishes It from Compellable Issuers

DDCP is a protocol under active development, not yet deployed at mainnet. This comment is submitted proactively, before deployment, precisely so that the OCC can address the constitutional question in the final rule rather than in an enforcement proceeding after the fact. The structural incapacity argument does not depend on deployment status — it derives from the governance architecture that will govern the protocol from genesis, and the OCC's rulemaking is the appropriate forum to address its constitutional implications before they become live.

DDCP's no-seizure property rests on **structural incapacity**: the protocol's no-seizure architecture will be consensus-enforced across a validator network adversarially distributed across politically non-aligned jurisdictions. No single entity within the OCC's jurisdictional reach will hold unilateral authority to implement a freeze function at the protocol layer. Protocol-level changes require a high-threshold supermajority of validators, deliberately distributed across jurisdictions with

divergent political relationships, specifically to prevent any single government from compelling protocol modification through a single point of control.

This is a materially different posture from a conventional payment stablecoin issuer. A centralized PPSI holds a database that can be updated by administrative action. DDCP's no-seizure property will not be a policy setting changeable by software update or board resolution. It will be a property of consensus-bound distributed infrastructure. There is no party the OCC can compel because there will be no party with the unilateral capacity to deliver what is compelled.

Van Loon's immutability analysis is the strongest form of this argument, and DDCP Foundation does not assert identity with that case. DDCP's high-threshold supermajority governance means the protocol is not technically immutable. But the constitutional principle the Fifth Circuit articulated applies with full force to DDCP's structural architecture: a high-threshold supermajority distributed across adversarially selected international validators is, for all practical purposes, incapable of being assembled by executive direction to a domestic entity. The compulsion predicate fails on structural grounds independent of immutability.

C. The Censorship Chokepoint Problem and the Validator Architecture

A further threat bears on the rulemaking beyond a direct protocol-level freeze mandate: the scenario in which the government identifies the entity controlling validator admission rules and compels that entity to enforce censorship indirectly — requiring validators to honor government-issued blacklists or to expel validators that refuse to comply.

This threat is not theoretical. Following OFAC's 2022 Tornado Cash designation, a majority of Ethereum validators began filtering sanctioned addresses at the block-building layer within weeks — not because they were ordered to by a court, but because entities within US jurisdiction faced secondary sanctions exposure and chose compliance over resistance. Protocol-level technical architecture was irrelevant; the censorship was achieved through the governance layer.

DDCP's validator admission and network governance are designed so that no single reachable entity occupies the censorship chokepoint position. Compelling a decisive majority requires simultaneously reaching entities across multiple non-cooperating legal systems. A freeze function requirement applied to DDCP would require the OCC to either (a) compel an internationally distributed validator supermajority through simultaneous demands to non-cooperating foreign regulators, or (b) assert jurisdiction over the protocol itself as a property — the theory the Fifth Circuit rejected in *Van Loon*.

D. The Procedural Distinction That Resolves the Law Enforcement Objection

The systemic risk of a protocol-level freeze function extends beyond government overreach. On March 23, 2026 — after this NPRM was issued — Circle froze USDC balances in sixteen unrelated operational wallets in response to a sealed civil court order in a private commercial dispute. Not a criminal investigation. Not a national security matter. A routine asset-preservation order granted ex parte in civil litigation, under the lower evidentiary standards civil courts apply. Among the sixteen frozen addresses was the ckETH Minter smart contract operated by the DFINITY Foundation — public blockchain infrastructure processing transactions for thousands of users with no relationship to the litigation — and a fully licensed and compliant exchange. Five wallets were eventually unfrozen after public pressure; the remainder stayed frozen, with affected businesses unable to pay vendors or process withdrawals. The problem was not that Circle complied with a court order. The problem is architectural: a single issuer exercising a protocol-level freeze function cannot contain the blast radius of even a legitimately issued order, because the function operates at a layer where precision is structurally impossible. The freeze function requirement the NPRM proposes would impose this architecture — and this systemic operational risk — on every PPSI.

The complementary case cuts the other way and illuminates the same structural problem. On April 21, 2026, Arbitrum's Security Council exercised emergency governance powers to freeze approximately $71 million in ETH linked to the KelpDAO exploit, an attack attributed to North Korean state-sponsored actors, preventing those funds from bridging to Ethereum mainnet. The community reaction was divided. Some praised the intervention as effective threat mitigation. Others identified the structural problem this comment letter addresses: the action "sets a precedent where with good justification any assets on Arbitrum can be taken from your wallet." The phrase "good justification" bears the full weight of that observation. The architecture does not distinguish between compelling justifications and pretextual ones. Freeze capability, once embedded in a protocol's governance layer, is exercised by whoever controls that governance layer, on whatever theory that controller finds sufficient. The Canadian government found its justification sufficient in February 2022. The Arbitrum Security Council found its justification sufficient in April 2026 in response to a state-sponsored attack. The architecture cannot tell these cases apart. DDCP's structural incapacity eliminates both outcomes by making protocol-level freeze capability architecturally unavailable. The law enforcement interdiction that Arbitrum achieved through emergency governance is available in DDCP's architecture through the FI layer, under valid judicial authority, with the procedural safeguards that the governance-layer intervention bypasses.

The freeze function requirement rests on the assumption that protocol-level seizure capability improves law enforcement outcomes. The evidence does not support that assumption. Protocol-level freeze functions do not intercept funds in real time — they execute after movement has occurred, producing collateral damage to bystanders rather than successful interdiction of targets, as the March 2026 Circle episode demonstrated. The operationally effective interdiction point is the fiat boundary, not the protocol layer. A freeze function at the protocol layer adds systemic operational risk without adding any law enforcement capability beyond what is already available through FI-layer judicial process.

DDCP's architecture draws a precise line between what the protocol can and cannot do with respect to law enforcement access. First, no authority of any kind — court order, administrative directive, governance vote, or issuer action — can freeze a self-custody wallet at the protocol layer. The protocol contains no freeze function. This is structural incapacity, not a policy choice. Because there is no freeze function and no single entity capable of implementing one, administrative directives have no compliance path at any layer for self-custody wallets — there is no party that could execute such a directive even if issued. Second, judicial orders have a genuine and targeted compliance path through the Financial Intermediary layer. A court can order a licensed exchange to restrict a named individual's access to on/off-ramp services, custodial services, or fiat conversion — with precision limited to the FI-customer relationship and subject to the procedural safeguards of the issuing court. The distinction being enforced is between enforcement that requires judicial process — individual targeting, evidentiary standards, and the right of challenge — and enforcement that requires only executive will.

The OCC may object that FI-layer compliance is too slow to intercept funds that move at network speed. The Circle episode answers this objection directly: protocol-level freeze functions do not achieve real-time interdiction either. Funds had already moved before Circle's freeze was executed; the result was collateral damage to bystanders rather than successful interdiction of the target. The effective interdiction point in any financial system is the boundary between the financial system and the real economy — the fiat off-ramp, the regulated service, the point of conversion. DDCP's architecture makes that boundary effective through FI-layer compliance, while preserving the non-custodial wallet path as a permanent fallback that cannot be administratively closed, because no intermediary controls it. The protocol guarantees that path remains open.

The distinction DDCP enforces is between seizure that requires judicial process and seizure that requires only executive will. That is the same procedural tradeoff society accepts with physical cash, with the Fourth Amendment's warrant requirement, and with every procedural protection that constrains government power at the cost of

some enforcement efficiency. The GENIUS Act should not be read to require PPSIs to eliminate that procedural distinction as a condition of licensure.

III. Open-Source Protocol Infrastructure Falls Outside the "Digital Asset Service Provider" Definition

A. The Unresolved DeFi and Protocol Gap in the NPRM

The NPRM's "digital asset service provider" definition contemplates identifiable entities that issue, custody, or transmit payment stablecoins and that maintain a commercial or fiduciary relationship with end users. DDUSD, LLC, as the prospective federal qualified payment stablecoin issuer, will be a DASP and will operate under the full set of PPSI obligations that applies to licensed issuers. DDUSD, LLC's obligations to end users arise from its regulatory status as a licensed issuer: each token represents a ratable claim against the reserve pool, and DDUSD, LLC's PPSI license imposes the reserve adequacy obligation that makes that claim redeemable at par. DDUSD, LLC's commercial relationships — onboarding, KYC, fiat conversion, and account management — are maintained exclusively by licensed Financial Intermediaries operating at the FI layer. That allocation of relationships is not a gap; it is the architecture. DDUSD, LLC's DASP status as issuer is not at question in this argument. The question addressed here is narrower: whether the underlying open-source protocol infrastructure and the nonprofit entity that stewards it are themselves DASPs. DDCP Foundation does not issue, custody, or transmit payment stablecoins and does not maintain a commercial or fiduciary relationship with end users; the DDCP protocol is open-source infrastructure deployed permissionlessly and operated through consensus by an internationally distributed validator network. Neither falls within the DASP definition as drafted. Separately, non-custodial wallet software creators are expressly excluded from custody obligations under Section 10(e) of the GENIUS Act, which provides that custody requirements do not apply to any person solely on the basis of engaging in the business of providing hardware or software to facilitate self-custody of payment stablecoins or private keys.

DDCP Foundation does not issue DDUSD tokens, hold reserves, custody user funds, or maintain any commercial relationship with end users. Token issuance is the responsibility of DDUSD, LLC as the PPSI applicant; reserve management is the responsibility of the DDCP Reserve Management Foundation, operating under governance-defined criteria for asset quality and custody. The DDCP Foundation's role is analogous to the Linux Foundation's relationship to Linux: it stewards the protocol specification, publishes the open-source codebase, and governs the

improvement proposal process. It is *infrastructure*, not a service provider. DDUSD, LLC's mint authority is cryptographically gated: no token can be issued without an RMF co-signature confirming that reserve assets are sufficient to support the mint, and no reserve assets are released on redemption until the corresponding burn is confirmed on-chain — making reserve adequacy an architectural property of the issuance mechanism, not a policy commitment.

The NPRM leaves this distinction unaddressed. The comment record should establish, before rulemaking closes, that open-source protocol infrastructure stewarded by a nonprofit entity is categorically outside the DASP definition, regardless of whether PPSI applicants use that infrastructure to issue compliant payment stablecoins.

B. AML/CFT Compliance Is Fully Addressed at the Financial Intermediary Layer

The OCC's most significant concern about a protocol falling outside the DASP definition is likely to be: if the protocol is not a service provider, who handles compliance? The answer is the Financial Intermediary layer, and this answer is a structural feature of DDCP's architecture, not a gap.

Every DDCP token instance requires **Financial Intermediaries ("FIs")** — licensed exchanges, on/off-ramps, and custodial wallet providers — to onboard users, manage fiat conversion, and maintain the commercial relationship with end users. These FIs are fully reachable entities subject to the Bank Secrecy Act, FinCEN regulations, and OFAC compliance obligations. AML/CFT compliance, including KYC/AML obligations for onboarding, transaction monitoring for pseudonymous, court-order auditable transactions (Tier 2, as described below) and fiat boundary transactions subject to full identification and reporting obligations by the relevant Financial Intermediary, and suspicious activity reporting, is performed entirely at the FI layer. No AML obligation falls on the protocol layer because the protocol layer has no user relationship to administer.

DDCP's tiered privacy architecture reinforces this structure. Tier 1 retail transactions — below defined amount and frequency thresholds — are cryptographically-private and cash-equivalent: no counterparty identification is stored at the protocol layer for these transactions, analogous to cash. Tier 2 transactions are pseudonymous and court-order auditable through the FI that processed the on/off-ramp. All fiat boundary activity — on-ramps, off-ramps, and custodial services — must flow through Financial Intermediaries who bear identification and reporting obligations under applicable AML/CFT law. The protocol has no internal mechanism for fiat conversion; all fiat on/off-ramp activity by necessity occurs through Financial Intermediaries subject to AML/CFT

regulation in their jurisdictions. Threshold parameters are set at the protocol level and enforced cryptographically by consensus. The Tier 1 privacy category itself, its cryptographic enforcement requirement, and the universality of the threshold across all token deployments are locked properties that cannot be modified by governance action regardless of supermajority size. This tiered architecture is designed precisely to make AML/CFT compliance feasible and complete at the FI layer without requiring any protocol-level compliance infrastructure.

This architecture is not a mechanism to evade compliance obligations. It is a mechanism to locate compliance obligations at the entities that have the user relationships, the regulatory capacity, and the legal accountability to discharge them. The protocol layer, by design, has none of those attributes. Extending DASP obligations to the protocol layer would not improve compliance outcomes; it would impose obligations on an entity structurally incapable of performing them.

C. The Infrastructure Layer and the Issuer Layer Are Distinct Regulatory Subjects

We require the OCC to confirm in the final rule, or in accompanying commentary, that:

- Open-source protocol infrastructure stewarded by a nonprofit entity, which does not issue payment stablecoins, hold reserves, or maintain commercial or fiduciary relationships with end users, falls outside the DASP definition;
- PPSI applicants that use open-source protocol infrastructure to issue compliant payment stablecoins are responsible for their own PPSI compliance obligations and are not imputed the characteristics of the underlying infrastructure; and
- AML/CFT compliance performed entirely at the Financial Intermediary layer, by licensed entities subject to BSA/AML obligations, satisfies the GENIUS Act's AML/CFT requirements for PPSI applicants whose protocol architecture routes all user relationships through the FI layer.

IV. Adversarially Distributed Short-Duration Sovereign Debt Qualifies as "Money" Under the GENIUS Act Reserve Asset Definition

A. The GENIUS Act's Broad Reserve Asset Definition

The GENIUS Act defines permissible reserve assets broadly to include "money," defined to include a medium of exchange currently authorized or adopted by a

domestic or foreign government. The NPRM notes an interpretive confirmation process for reserve asset characterizations that fall within this broad definition but outside the more specifically enumerated categories. DDCP Foundation requests that the OCC use that process to confirm that adversarially distributed short-duration sovereign debt from multiple jurisdictions qualifies under this definition. This interpretive confirmation request is directed at the statutory definition's scope under the Act. DDUSD's specific PPSI-stage reserve composition will be addressed in its formal application and will comply with the Act's instrument requirements in force at that time.

B. The Reserve Architecture and Its Relationship to Value Preservation

DDUSD's reserve architecture is governed by the RMF, whose mandate is **value preservation at par with base currency value**. To execute that mandate, the RMF holds reserves in a diversified basket of short-duration, liquid instruments across multiple asset classes, including short-duration sovereign debt of multiple jurisdictions selected on the basis of the highest probability of value preservation at par, subject to governance-defined criteria including duration, liquidity, and issuer credit quality.

The adversarial jurisdiction distribution is a structural feature, not a risk factor. DDUSD's reserve architecture is designed to prevent any single government from impairing the reserve through asset freeze or regulatory action targeting a single custodian. Diversification across politically non-aligned sovereign debt issuers eliminates the single-jurisdiction regulatory chokepoint that afflicts reserve structures concentrated in a single regulatory environment. No single jurisdiction holds a dominant share of the reserve basket.

Short duration — T-bills and short-maturity sovereign bonds — is the primary instrument class within the sovereign debt tranche. Short duration minimizes mark-to-market risk, maintains liquidity for redemptions at scale, and limits exposure to interest rate movements across the diverse jurisdictions represented in the basket.

C. The "Money" Characterization and the Interpretive Confirmation Request

Short-duration sovereign debt instruments — government-issued T-bills, treasury notes, and equivalent instruments — are authorized or adopted by their issuing governments as mediums of exchange and stores of value within their monetary systems. They are, in the most fundamental sense, evidence of money: claims on the monetary authority of the issuing sovereign, denominated in that sovereign's currency, with unconditional repayment obligations.

The GENIUS Act's definition of "money" — including "a medium of exchange currently authorized or adopted by a domestic or foreign government" — is best read to encompass short-duration sovereign debt of multiple foreign governments, where such instruments are selected on the basis of the highest probability of value preservation at par, applying governance-defined criteria for duration, liquidity, and issuer credit quality, and are diversified across jurisdictions with no single dominant position. This reading is consistent with the Act's value preservation purpose: such instruments provide the same stability and liquidity characteristics as the specifically enumerated categories while enabling the adversarial diversification that the Act's reserve quality objectives should be read to encourage.

We require the OCC to confirm, through interpretive guidance or in the final rule's commentary, that:

- Short-duration sovereign debt instruments authorized or adopted by domestic or foreign governments, selected under a governance-defined value preservation mandate with explicit criteria for duration, liquidity, and issuer credit quality, constitute "money" within the meaning of the GENIUS Act's reserve asset definition;
- A reserve basket adversarially distributed across multiple politically non-aligned sovereign debt issuers, with no single jurisdiction holding a dominant share, satisfies the reserve quality objectives of the Act; and
- The OCC's interpretive confirmation process is available to prospective federal qualified payment stablecoin issuer applicants who seek advance guidance on reserve basket composition before formal application.

V. Conclusion and Interpretive Confirmation Requested

DDCP Foundation submits this comment as steward of the DDCP open-source infrastructure, on behalf of the DDCP Reserve Management Foundation (in formation), and in connection with DDUSD, LLC (in formation) as the prospective federal qualified payment stablecoin issuer. The three arguments advanced here address the three layers of the DDCP architecture that the OCC's proposed rulemaking bears on: the constitutional constraints on what the rulemaking may require of protocol infrastructure; the definitional boundary between open-source protocol infrastructure and regulated issuers; and the reserve asset characterization available to a federal qualified payment stablecoin issuer whose reserve governance is structured around a value preservation mandate and adversarial jurisdiction distribution.

We respectfully require the OCC to:

- Address the constitutional infirmity of applying the freeze function requirement to payment stablecoin infrastructure whose no-seizure property is consensus-enforced and structurally distributed across an internationally adversarial validator network with no single reachable controlling entity, consistent with the Fifth Circuit's analysis in Van Loon v. Department of the Treasury;
- Confirm in the final rule or accompanying commentary that open-source protocol infrastructure stewarded by a nonprofit entity, which does not issue payment stablecoins or hold reserves, falls outside the DASP definition; and confirm that AML/CFT compliance performed entirely at the licensed Financial Intermediary layer satisfies the Act's AML/CFT requirements for PPSI applicants whose architecture routes all user relationships through that layer; and
- Issue interpretive guidance confirming that adversarially distributed short-duration sovereign debt instruments authorized or adopted by domestic or foreign governments, selected under a governance-defined value preservation mandate, qualify as "money" under the GENIUS Act's reserve asset definition, and that the OCC's interpretive confirmation process is available to prospective federal qualified payment stablecoin issuer applicants in advance of formal application.

DDUSD, LLC intends to submit a formal application for federal qualified payment stablecoin issuer status. The submitter welcomes the opportunity to engage OCC licensing staff through the pre-application process on the questions raised in this letter.

The questions raised in this letter are ultimately about whether the legal architecture governing digital money will preserve the procedural safeguards that liberal democratic societies have historically required for limiting coercive government power. DDCP Foundation respectfully submits that the OCC has the opportunity, in this rulemaking, to answer that question in the affirmative.

Respectfully submitted,

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